

speculation during Tulipmania was not accompanied by a single blossoming tulip changing hands.¹⁵

Two factors made the crowd speculation even worse. According to a study in *The Economist*, government officials were in on the action themselves and moved to change the futures contracts to options. The result was that:

Investors who had bought the right to buy tulips in the future were no longer obliged to buy them. If the market price was not high enough for investors' liking, they could pay a small fine and cancel the contract. The balance between risk and reward in the tulip market was skewed massively in investors' favour. The inevitable result was a huge increase in tulip options prices.¹⁶

The second factor was that much of the trade began to be financed by notes of personal credit. Therefore, not only were the bulbs not changing hands, neither was physical money. Transactions were made on simple promises to deliver money in the future.

It should be clear to the innovative investor that the delusion of value here was created by the frenzy of a crowd. As Chancellor points out, "By the later stages of the mania, the fusion of the windhandel with paper credit created the perfect symmetry of insubstantiality: most transactions were for tulip bulbs that could never be delivered because they didn't exist and were paid for with credit notes that could never be honored because the money wasn't there."

Cheap credit often fuels asset bubbles, as seen with the housing bubble that led to the financial crisis of 2008. Similarly, cryptoasset bubbles can be created using extreme